

Banking Operations Quick Reference

A concise reference of retail-banking operations, compliance, and payments controls.

NOTE This is a **synthetic document created for a software demonstration**. It is not financial, legal, or compliance advice. Thresholds and citations are illustrative and may not reflect current rules.

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1. Know Your Customer (KYC)

Customer onboarding & due diligence

KEY FACT Customer Due Diligence (CDD) must verify identity at onboarding; **Enhanced Due Diligence (EDD)** is required for higher-risk customers and politically exposed persons (PEPs) [1].

Overview

KYC is the set of checks a bank performs to confirm who a customer is and to assess their risk. It underpins every later control, because monitoring is only as good as the identity behind the account [1].

Limits & thresholds

Tier	Requirement
Standard CDD	Verify identity + purpose of account
Enhanced (EDD)	Source of funds, senior approval, ongoing review [1]

Controls & rules

Beneficial ownership must be identified for legal-entity customers down to a **25% ownership** threshold. Records are retained for at least five years after the account closes [1].

OPERATIONS PEARL Risk-rate the customer at onboarding, not just at first transaction — the rating drives how closely you monitor them later.

2. Anti-Money-Laundering (AML)

Transaction monitoring & reporting

KEY FACT A **Currency Transaction Report (CTR)** is filed for cash transactions exceeding **\$10,000** in a single business day; a **Suspicious Activity Report (SAR)** is filed within 30 days of detecting suspicious activity [2].

Overview

AML programs detect and report the movement of illicit funds. Automated monitoring flags patterns such as structuring, rapid movement, or activity inconsistent with the customer's profile [2].

Limits & thresholds

Report	Trigger / deadline
CTR	Cash > \$10,000 in one day
SAR	File within 30 days of detection [2]

Controls & rules

Structuring — breaking a large cash amount into sub-\$10,000 deposits to avoid a CTR — is itself a federal offense and a SAR trigger, even when each deposit looks ordinary [2].

OPERATIONS PEARL Tipping off a customer that a SAR has been filed is prohibited; the filing and its existence stay confidential.

3. Payments — ACH & Wires

Funds transfer rails

KEY FACT A completed **wire transfer is effectively irrevocable** once sent, while ACH entries can be returned within defined windows under the NACHA rules [3].

Overview

ACH moves funds in batches between banks (payroll, bill pay); wires move funds individually and in near-real-time for higher-value, time-critical payments. They differ sharply in speed, cost, and reversibility [3].

Limits & thresholds

Rail	Characteristic
ACH	Batched, low cost, returnable within windows
Wire	Individual, fast, irrevocable once sent [3]

Controls & rules

Because wires are irrevocable, **business email compromise (BEC)** fraud targets them: a spoofed instruction sends funds that cannot be clawed back. Callback verification is the key control [3].

OPERATIONS PEARL For ACH, the return reason codes (e.g. R01 insufficient funds, R10 unauthorized) drive both operations and fraud handling.

4. Credit Cards — APR & Billing

Revolving consumer credit

KEY FACT Under Regulation Z, if the cardholder pays the statement balance in full each month, purchases get a **grace period** with no interest; carried balances accrue interest at the card's APR [4].

Overview

A credit card is a revolving line of credit. Interest is computed from the Annual Percentage Rate (APR), applied to the balance using a daily or monthly periodic rate disclosed to the customer [4].

Limits & thresholds

Term	Meaning
APR	Yearly cost of borrowing, as a rate
Grace period	No interest if paid in full by due date [4]

Controls & rules

Disclosures, the grace period, and how the minimum payment is calculated are governed by **Regulation Z (Truth in Lending)**. Penalty APRs require advance notice [4].

OPERATIONS PEARL Average daily balance is the most common interest method — a mid-cycle payment lowers interest, unlike a payment on the due date alone.

5. Mortgages — LTV & PMI

Secured real-estate lending

KEY FACT Loan-to-Value (LTV) = loan amount / appraised value. Conventional loans above **80% LTV** typically require Private Mortgage Insurance (PMI) [5].

Overview

A mortgage is a loan secured by real property. LTV measures how much of the property's value is borrowed; higher LTV means higher lender risk and usually stricter terms [5].

Limits & thresholds

Metric	Definition
LTV	loan / appraised value
PMI	Insurance required above 80% LTV [5]

Controls & rules

Under the Homeowners Protection Act, borrower-paid PMI must be **automatically terminated at 78% LTV** based on the original amortization schedule [5].

OPERATIONS PEARL Debt-to-income (DTI) ratio sits alongside LTV in underwriting — a strong LTV does not rescue a weak DTI.

6. Deposit Accounts & Overdrafts

Everyday banking & Reg E

KEY FACT Under Regulation E, a bank may not charge overdraft fees on ATM and one-time debit-card transactions unless the customer has **opted in** to that coverage [6].

Overview

Deposit accounts hold customer funds for everyday use. Overdraft occurs when a transaction exceeds the available balance; whether it is paid (for a fee) or declined depends on the customer's opt-in choices [6].

Limits & thresholds

Item	Rule
ATM / one-time debit	Overdraft fee only if opted in
Checks / recurring	Default overdraft handling applies [6]

Controls & rules

An **NSF (non-sufficient funds)** fee applies when an item is returned unpaid, distinct from an overdraft fee charged when the bank pays the item anyway [6].

OPERATIONS PEARL Posting order (largest-to-smallest vs chronological) materially changes how many overdraft fees a customer incurs — a frequent compliance focus.

7. Deposit Insurance (FDIC)

Depositor protection

KEY FACT Standard FDIC deposit insurance covers **\$250,000 per depositor, per insured bank, per ownership category** [7].

Overview

FDIC insurance protects depositors if an insured bank fails. Coverage is calculated separately for each ownership category, so a household can be insured well beyond \$250,000 across categories [7].

Limits & thresholds

Category (examples)	Coverage
Single account	\$250,000
Joint account	\$250,000 per co-owner [7]

Controls & rules

Coverage is per **ownership category**, not per account — multiple single accounts at the same bank share one \$250,000 limit, while joint and trust accounts are insured separately [7].

OPERATIONS PEARL Investment products (stocks, bonds, mutual funds) sold through a bank are NOT FDIC-insured, even when bought at the branch.

8. Operational Risk & Controls

Cross-cutting safeguards

KEY FACT Effective controls combine **segregation of duties, dual authorization, and callback verification** — no single person should be able to both initiate and approve a high-value payment [2][3].

Overview

Operational risk is the risk of loss from failed processes, people, or systems. It matters most where money moves fast and irreversibly: **instant rails (RTP, FedNow) settle in seconds and cannot be recalled**, so controls must act before the payment leaves [3][8].

Limits & thresholds

Control	Purpose
Segregation of duties	No single point of compromise
Callback verification	Defeats spoofed payment instructions [3]

Controls & rules

Reconciliation — matching internal records to the rail's settlement reports daily — is the backstop that catches errors and fraud the front-line controls miss. Sanctions screening (e.g. OFAC) runs in-line and holds a flagged payment before settlement [8].

OPERATIONS PEARL Map each control to the specific risk it addresses; controls with no named risk are usually cost without coverage.

References

- [1] FFIEC. Bank Secrecy Act / Anti-Money Laundering Examination Manual. Federal Financial Institutions Examination Council; 2021.
- [2] FinCEN. Currency Transaction Reporting and Suspicious Activity Reporting requirements (31 CFR Chapter X).
- [3] NACHA. ACH Operating Rules & Guidelines. National Automated Clearing House Association; 2023.
- [4] Consumer Financial Protection Bureau. Regulation Z — Truth in Lending (12 CFR Part 1026).
- [5] Consumer Financial Protection Bureau / HUD. Homeowners Protection Act and mortgage disclosure rules.
- [6] Consumer Financial Protection Bureau. Regulation E — Electronic Fund Transfers (12 CFR Part 1005).
- [7] Federal Deposit Insurance Corporation. Deposit Insurance at a Glance. FDIC; 2023.
- [8] The Clearing House / Federal Reserve. RTP and FedNow service operating rules and instant-payments fraud guidance.